Tata’s Radia Connection

Not many had heard of Niira Radia before the taped conversations became public. But as soon as the publications hit the stands, investigative journalists worked overtime to research her background. In the corridors of power in Delhi, she was just about making her mark as a lobbyist. But what surprised many was the extent of her contacts in important power circles. Her network covered politicians, journalists and industrial leaders.

Many people found it unbelievable that the transcripts also contained her conversations with Ratan. The fact that she headed a public relations (PR) firm that had been engaged by the Tata Group to represent it, which made it legitimate for Ratan to speak to her, was lost in the fog of the controversy.

The Kenyan-born Radia had moved to England in the 1970s. After a string of business failures, she landed in India in the 1990s. In 2000, she represented Singapore Airlines (SIA) which was then in talks with the Tatas for a JV to acquire a 40 per cent stake in Air India. While the JV never took off, Ratan was impressed by Radia’s negotiation skills.

The Tatas had been facing problems because they hadn’t engaged a professional communications agency to publicly articulate their views on important issues. Consequently, the group was being seen as reactive, ‘defensive’, ‘rebutting or denying’, and ran the risk of being ‘relegated to the back pages of newspapers’, says Ratan. To overcome this drawback, he decided to appoint Radia to handle the group’s PR activities.

Radia set up a PR firm called Vaishnavi Corporate Communications Pvt. Ltd (VCCPL) in 2001 to handle the large account. She successfully managed the ‘mess around Tata Finance in 2001—when the group took its former managing director Dilip Pendse to the cleaners on corruption charges’.

Soon, Radia grew to represent ninety Tata company accounts. Her skills at handling PR gained more recognition. Other large companies and organizations also engaged her to represent them. The list included Hindustan Construction Company, Confederation of Indian Industry (CII), the GMR Group and the Unitech Group. However, the most significant addition to Radia’s list of clients was in 2008, when Mukesh Ambani enlisted her services for Reliance Industries. She established a new outfit called Neucom Consulting to exclusively deal with her newest client. By now she had become a corporate celebrity of sorts. There was no looking